

data, genetic data, transgender status, intersex status, caste or tribe, religious or political beliefs.

The DPA will have the residuary power to notify further categories in accordance with the criteria set by law.

Data fiduciaries will be required to obtain consent for collection and processing of personal data, which should be informed, specific, clear and capable of being withdrawn.

For sensitive personal data, consent standards would be higher and more detailed. For instance, data fiduciaries will have to make sure that the individual is given the choice of separately consenting to the use of different categories of sensitive personal data relevant to processing, and that the individual understands that processing of this data may have significant consequences for him or her.

For consent to be valid, it should be free, informed, specific, clear and capable of being withdrawn. For sensitive personal data, consent will need to be explicit and be the lawful basis for processing of personal data.

However, the law will apply a product liability regime to consent, thereby making data fiduciaries liable for harms caused to data principals. Data principals below 18 years of age are to be considered as children. Data fiduciaries will have a general obligation to ensure that processing is undertaken keeping the best interests of the children in mind.

Further, data fiduciaries capable of causing significant harm to children are to be identified as guardian data fiduciaries. All data fiduciaries (including guardian data fiduciaries) are to adopt appropriate age verification mechanism and obtain parental consent.

Further, guardian data fiduciaries, specifically, shall be barred from certain practices. The ones exclusively offering counselling services or other similar services will not be required to take parental consent.

Individuals' rights with regard to their data

The draft bill lists out a host of rights



Right to portability forces MakeMyTrip to give the user his or her order history data before passing it on to Cleartrip (Credit: <http://bwdisrupt.businessworld.in>, <http://promocodeclub.com>)

that individuals will have with regard to their data. These include the following:

1. *The right to confirmation:* Is a company or government department using my data?
2. *The right to correction:* Correction, completion or updating of inaccurate personal data.
3. *The right to portability:* As an example, can I force MakeMyTrip to give me my order history data before giving it to Cleartrip?
4. *The right to be forgotten:* Can I ask Google to delete a search result about me?

However, the bill does not lay down the golden principle of allowing individuals to be the true owners of their own data. There is no right to erasure, only a limited right to be forgotten. The liability for withdrawal of consent is placed on the individuals in question.

Under data principal rights, the right to confirmation, accession and correction is to be included in the data protection law. The report has set out reasons that the law may not provide the right to data portability (subject to limited exceptions), right to object to processing, right to object to direct marketing, right to object to decisions based on solely automated processing and right to restrict processing.

Data localisation requirement

The Ministry of Telecom believes that data belonging to Indians should reside within the country, and its analysis should not happen overseas. This will help meet the need for personal data of citizens to be in safe hands and ensure data protection. It maintains that data is personal and there is a paramount need for privacy. It is essential that this data is available to Indians and Indian companies.

India needs to look carefully at who has access to people's data, what they can do with it and what returns Indians will get from it. Understanding how other countries are working on their data protection policies will help in forming a blueprint for India.

The US has its own data and other peoples' data as well. China has built its digital economy, its search engines and machines on the back of its own data. However, this requirement also creates hurdles for vendors.

The committee has articulated a set of principles to guide data collection and processing so that it is at par with global best practices. The government needs to look at weaving in the recommendations on data privacy by the Telecom Regulatory Authority of India (TRAI) to safeguard the interests of the telecom sector.

The draft bill states that all data fiduciaries must ensure the storage of at least one serving copy of personal data, to which this act applies, on a server or data centre located in India. It implies that private companies, which deal with personal data of Indian citizens, will have to store a copy of that data in India. This will have significant consequences for MNCs who store data of their Indian users primarily in a foreign country.

Additionally, the bill lays out that the DPA must decide if data breaches are to be disclosed to affected users. Currently, Indian companies and government agencies are quite lax about security standards. Affected users must have a legal right to know if their data has been compromised, as is the practice followed in developed countries.

The draft bill lays down rules on how companies and the government should be treated if they are found to have committed offences under the act—two primary offences being obtaining/selling of data contrary to the act, and re-identification and processing of de-identified data.

While at present, government departments are being let off lightly for leaking personal data, the draft bill notes that if any offence is committed